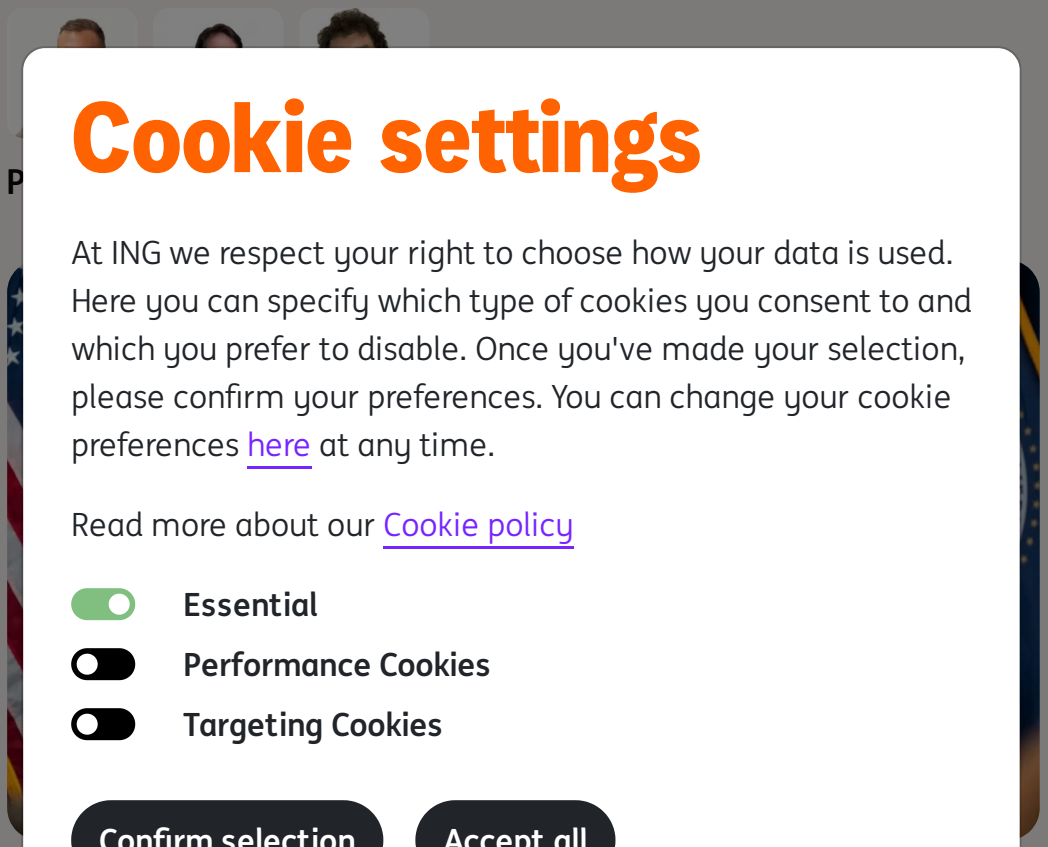
On the Fed, it's tough to view the current set-up of still elevated printed inflation and a Fed on hold as all that protective. We glean from this enough to validate the move back above 5% on the 10yr. On the ECB, forward guidance on policy rates is likely of secondary interest compared to questions about France or minimum reserve requirements



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The lean hawkish is enough to validate the break back above 5% for the 10yr

Hardly a word in the short Fed statement that did not lean hawkish. But no hike. Prior to the FOMC meeting, it was remarkable how the 10yr yield had been clinging to the 4.99% level. It was like a comfort level; technically below 5%, but not too far below in case it needs to turn tail and shoot back up. It seemed that the US 10yr was waiting to tick off this outcome before deviating too much from 5%. Well, it's now had the outcome. The initial reaction was

up. But the reaction to Chair Warsh's words at the press conference was to move back down to 5%, and briefly below. This can be rationalised by Warsh's comforting words on inflation expectations, which he deemed to have been tamed somewhat.

That all being said, our interpretation is that this Fed still has a job to do if the type of price stability that Chair Warsh has described is to be achieved. He has described price stability as strictly 2%, and he seems to be serious about hitting that. This is good from a protective sense for the back end. At the same time, it's tough to view the current set-up of still elevated printed inflation and a Fed on hold as all that protective. Also, inflation expectations in fact

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implementation mechanisms. And the Fed will continue to reinvest principal payments from its MBS securities into Treasury bills. We're likely still some way from the Fed spelling out a plan to shrink its balance sheet, which we know remains a policy objective for Chair Warsh. We expect recommendations from the various committees to surface closer to the turn of the year. Meanwhile, liquidity conditions are stable, with repo behaving far better than it did a year ago.

Questions for Lagarde on France should be of more interest than rate decisions

The European Central Bank will decide on its monetary policy on Thursday, but no one is realistically expecting any change in interest rates. On the topic of rates, the focus will be on the wording surrounding a potential rate hike at the December meeting. Here, markets are already discounting 23bp of tightening.

Lagarde will face more questions around the situation in France and what the ECB could do to contain the bond market turmoil. We have written about the sequence of actions that the ECB will likely follow, verbally toning down hawkishness first, before more direct intervention by suspending quantitative tightening and resuming reinvestments and eventually, if that fails, activating the

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expect this week's meeting to trigger a major repricing. A stronger commitment to a December hike would nudge a hawkish repricing, but with more than 20bp already priced in, the reaction should be contained.

Thursday's events and market views

The ECB meeting is the main event, but we also have multiple data releases to watch. The US will publish PCE numbers for September, with consensus expecting a relatively hot 0.3% month-on-month core reading. US GDP numbers for the third

quarter are expected to show a resilient outlook with 3.2% annualised growth pencilled in. The eurozone will publish confidence indicators, which should soften slightly on the back of higher energy and borrowing costs.

Italy will auction 5y BTP, 7y BTP, 10y BTP and 10y CCTeu for a total of €7.75bn. Finland has ORIs, while the US will auction $44bn of a new 7y note.

Rates Daily

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